

- **Sales tax.** If you itemize, you have the option of deducting either state and local income tax *or* state and local sales tax on your federal return (not both). For people who aren't subject to state income tax, such as Texans, it's a no-brainer: Deduct the sales tax and save money. You either deduct a set amount, which is determined by your income, or you can save all your receipts and add up the sales tax. If you buy a big ticket item, such as a car, it might be better to deduct the actual amount you paid. To figure out whether it makes more sense to deduct income tax or sales tax, go to www.irs.gov and search for the sales tax deduction calculator.
- **Property tax.** If you own a home, you can deduct the property taxes (also known as real estate taxes) you pay from your taxable income. If you live in a co-op, it pays property taxes for you as part of your monthly maintenance fee; find out what your share of these taxes is so that you can deduct them.
- **Donations to charity.** If you make a contribution to a group that's considered a "qualified tax-exempt organization" by the IRS, you can deduct it, but you'll need to have the proper paperwork to support your deduction. Qualified organizations include most churches, synagogues, charities, and educational organizations. If you're unsure whether a particular organization qualifies, ask before you make a donation. Contributions you make to your college's alumni association, for example, might be deductible. If instead of cash you donate clothes, furniture, or household items to the Salvation Army, for instance, you get to deduct their current market value as long as they are in decent condition. Write down a description of each item you donate and how much each is worth (basically that means how much you estimate you could get if you sold it at a garage sale). You'll need a receipt from the charity—they do this all the time. For noncash donations worth more than \$500 (like clothing or books), you'll have to fill out a special form (Form 8283) when you file your tax return. If your noncash